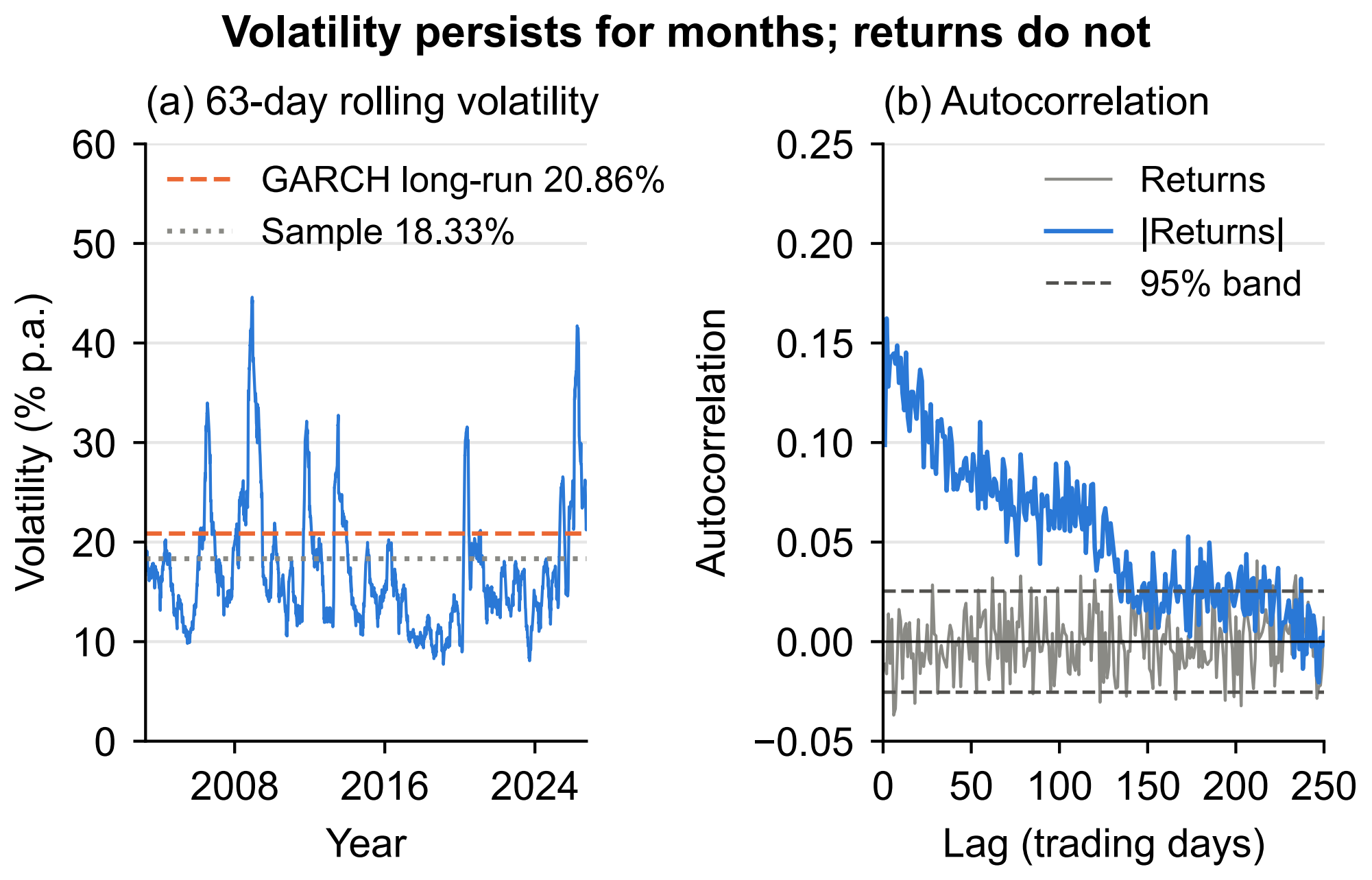

Volatility persists for months; returns do not
(a) 63-day rolling volatility
GARCH long-run 20.86%
Sample 18.33%
Volatility (% p.a.)
60
50
40
30
20
10
0
2008
2016
2024
Year
(b) Autocorrelation
Returns
|Returns|
95% band
Autocorrelation
0.25
0.20
0.15
0.10
0.05
0.00
−0.05
0
50
100
150
200
250
Lag (trading days)